

Statement 1: Budget overview

The conflict in the Middle East has triggered substantial economic and energy disruptions across the world. It is driving global inflation higher, global growth lower, and has compounded uncertainty and volatility at home and abroad. The conflict is compounding cost pressures faced by Australians; straining some supply chains, and the impacts on our economy will be felt for some time.

The impact of high global oil prices is expected to significantly add to inflationary pressures in the near term, with headline inflation forecast to be 5 per cent through the year to the June quarter 2026. Higher inflation is expected to weigh on growth in real incomes and household consumption. As a result, growth in the Australian economy is forecast to slow from 2¼ per cent in 2025–26 to 1¾ per cent in 2026–27.

Despite the substantial economic impact of this global shock, Australia confronts these challenges from a position of strength. The Australian economy is growing faster than any major advanced economy, has low unemployment, solid wage growth, and our public finances are among the strongest in the developed world.

While the economic outlook remains highly uncertain, growth in the Australian economy is expected to pick up to 2¼ per cent in 2027–28, unemployment is expected to stabilise at around 4 ½ per cent and solid wages growth is expected to continue. This recovery assumes that global oil prices begin to decline from mid-2026 and largely stabilise by mid-2027. Headline inflation is forecast to decline to 2 ½ per cent by the June quarter 2027, and abstracting from the impact of fuel prices, it is forecast to sustainably return to the RBA's target band in the middle of 2027.

Against this backdrop, there are significant structural changes in the energy and technology sectors, and longstanding challenges when it comes to productivity, intergenerational equity and home ownership that demand sensible and responsible action.

The Government has delivered a stronger and more sustainable budget, with lower deficits and less debt. This is helping to take pressure off inflation, build fiscal buffers at a time of heightened global uncertainty and make more room to return bracket creep in future budgets. The budget position has improved by a cumulative \$44.9 billion over the forward estimates and debt and deficits are lower every year compared to the 2025–26 MYEFO. The budget deficit for 2026–27 is \$31.5 billion, an improvement of \$2.8 billion compared to MYEFO. The budget is projected to return to balance in 2034–35 and a surplus of 0.8 per cent of GDP in 2036–37, supported by structural savings and reforms to the tax system.

As at 30 June 2027, gross debt is \$1,051.0 billion, \$18.0 billion lower than at MYEFO and \$173.0 billion lower than the estimate the Government inherited. As a share of GDP, gross debt is expected to peak 1.2 percentage points lower and two years earlier than at MYEFO. The Government has found \$63.8 billion of savings and reprioritisations in this update,



helping to ensure net policy decisions improve the budget position for the second consecutive update. When accounting for provisions, net decisions improve the budget by \$26.1 billion. The Government is returning every dollar of the tax receipts upgrade to the budget for the second consecutive update.

This is a responsible Budget focused on resilience and reform. It responds to near term and long-term challenges, helping Australians today and lifting living standards into the future. It does this by:

- **Responding to the global oil shock** – securing Australia’s near-term fuel and fertiliser security through the Export Finance Australia’s \$7.5 billion Fuel and Fertiliser Security Facility, strengthening longer term fuel security with our \$3.2 billion Australian Fuel Security Reserve and boosting our energy sovereignty by making more clean fuels here, promoting electrification, and implementing a 20 per cent gas reservation. Overall, the \$14.8 billion Strengthening Australia’s Fuel Resilience package supports Australians to respond to market disruptions and invest in future resilience.
- **Taking pressure off Australians** – delivering new and permanent income tax cuts for working Australian taxpayers through the \$250 Working Australians Tax Offset and the \$1000 instant deduction, more than halving the fuel excise and excise-equivalent customs duties, reducing the heavy vehicle road user charge to zero for three months, rolling out legislated tax cuts for every Australian taxpayer this year, increasing the Medicare levy low-income thresholds, boosting housing supply, making health care more affordable and accessible, and backing higher wages for low-paid workers.
- **Making our economy more productive** – rolling out a comprehensive productivity package that will reduce regulatory burden by \$10.2 billion each year, boost long-run GDP by around \$13.0 billion through work underway with states and territories, and lift young firms’ investment in R&D by \$400.0 million per year. These reforms make it easier to do business, easier to build and easier to invest through meaningful reforms to approvals processes, establishing a single national market, promoting the uptake of AI, implementing landmark reforms to energy markets and making significant investments in science and innovation.
- **Delivering tax reform for workers, businesses and future generations** – reforming negative gearing, capital gains and discretionary trust tax arrangements to improve the fairness of the tax system, support home ownership and fund new income tax cuts for every working Australian taxpayer, as well as delivering over \$3.5 billion of new measures that lower taxes for businesses and start-ups including loss refundability, support for venture capital, and a permanent \$20,000 instant asset write off for small business.
- **Sensible and responsible savings** – building a stronger and more sustainable budget by returning the NDIS to its original intent, further reducing public service spending on external labour and non-wage expenses, aligning private health insurance rebate entitlements across age groups and returning uncommitted funding across discretionary programs.

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Economic Outlook

The conflict in the Middle East has disrupted global oil supplies, created extreme global volatility and uncertainty and weighed heavily on the global economic outlook. The conflict will result in higher global inflation and lower growth, with the scale of the impact dependent on its duration and severity. The conflict has disrupted around one-fifth of the world's seaborne oil and gas supply. It has also impacted many other global supply chains, including for fertiliser, chemicals, aluminium and plastics.

The economic impacts of the conflict in the Middle East are likely to linger beyond the resolution of the conflict. For markets and supply chains to normalise once the conflict ends, damaged infrastructure will need to be repaired so production in the region can restart, refiners will need time to process raw inputs into fuel and refined products, and shipping and global trade will need to resume and stabilise.

Australia is not immune from the impacts of the conflict, and the economic consequences will continue to be felt for some time. The conflict has compounded cost pressures for households and businesses and is straining some supply chains.

Headline inflation rose to 4.6 per cent in the 12 months to March 2026, driven by a 32.8 per cent rise in automotive fuel prices in the month. The impact of higher fuel prices is expected to broaden in the coming months, as prices flow through to other goods and services. This is expected to add to several pre-existing temporary and persistent inflationary pressures.

As a result, headline inflation is forecast to be 5 per cent through the year to the June quarter 2026. Headline inflation is forecast to decline to 2½ per cent through the year to the June quarter 2027, supported by an assumed decline in global oil prices from the middle of 2026, a resolution of temporary pressures, and a moderation in services inflation. Abstracting from the impact of fuel prices, inflation is forecast to sustainably return to the RBA's target band in the middle of 2027.

The conflict in the Middle East, high global oil prices and resulting inflationary pressures are expected to weigh on growth in real incomes and household consumption in the near-term. As a result, growth in the Australian economy is forecast to slow from 2¼ per cent in 2025–26 to 1¾ per cent in 2026–27. While the economic outlook remains highly uncertain, the Australian economy is expected to grow by 2¼ per cent in 2027–28. This recovery assumes that global oil prices begin to decline from the middle of 2026 and largely stabilise from the middle of 2027, informed by current market expectations.

Despite the substantial economic impacts of the global oil shock, Australia confronts these challenges from a position of relative strength. The Australian economy is growing faster than every major advanced economy, unemployment remains low, the labour force participation rate remains high, wages growth is solid, and public finances are among the strongest in the developed world, with gross debt lower than every major advanced economy.

Economic activity strengthened over 2025, driven by the recovery in the private sector. Rising momentum in private demand was supported by strong growth in investment and household consumption. Private final demand exceeded public final demand's contribution to growth in every quarter of 2025. Growth in business investment picked up substantially in 2025, driven by non-mining business investment.

The momentum in business investment growth is expected to continue with capital expenditure intentions for 2025–26 nearing \$200.0 billion, despite substantial global uncertainty. Dwelling investment growth also improved in 2025. Dwelling investment has grown for eight consecutive quarters, the longest run of quarterly growth in a decade.

The labour market remains resilient and is well placed to withstand slower economic growth in 2026–27. The unemployment rate remains low by historical standards, employment has continued to grow, and the labour force participation rate remains near its recent record high.

The unemployment rate has been broadly stable over the past year and is expected to remain low by historic standards, rising only gradually from 4¼ per cent in the June quarter 2026 to 4½ per cent in the June quarter 2027 and the June quarter 2028. Labour market conditions are continuing to support solid wage growth, with growth in the Wage Price Index forecast to remain above its 10-year pre-pandemic average.

There are significant risks surrounding the economic forecasts, particularly in relation to the duration of the conflict and disruption in the Middle East. If the resolution to the conflict and sustained reopening of the Strait of Hormuz is quicker than market expectations, this could result in upside to the forecasts. Sustained domestic supply chain disruptions could emerge, even in the case of a shorter conflict. While global financial markets have so far been resilient, a more protracted conflict may suddenly weigh on market sentiment and asset valuations.

Domestically, inflation could remain persistently high, especially if the impact of the conflict in the Middle East is more severe than expected. There is also a risk that the conflict could weigh more heavily on economic growth, particularly if households and businesses become more cautious. Reduced consumption and investment have the potential to flow into weaker employment growth and higher unemployment.

There are other potential risks to the outlook. Rising global protectionism continues to drive shifts in global trade flows and place upward pressure on prices, particularly in the United States. On the upside, strong investment in AI and technology could be a potential source of productivity growth in the medium-term.

Table 1.1: Major Economic Parameters^(a)

	Outcome	Forecasts				
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30
Real GDP	1.3	2 1/4	1 3/4	2 1/4	2 1/2	2 1/2
Employment	2.1	1 1/2	1 1/2	1 3/4	1 3/4	1 3/4
Unemployment rate	4.2	4 1/4	4 1/2	4 1/2	4 1/2	4 1/4
Consumer price index	2.1	5	2 1/2	2 1/2	2 1/2	2 1/2
Wage price index	3.4	3 1/4	3 1/2	3 1/2	3 1/2	3 3/4
Nominal GDP	3.6	6 3/4	4 1/4	2 3/4	4 3/4	5 1/4

a) Real GDP and nominal GDP are percentage change on preceding year. Employment, the consumer price index and the wage price index are through-the-year growth to the June quarter. The unemployment rate is the rate for the June quarter.

Source: ABS Australian National Accounts: National Income, Expenditure and Product; Labour Force, Australia; Consumer Price Index, Australia; Wage Price Index, Australia; and Treasury.

Fiscal Outlook

The Government's responsible economic and fiscal management has delivered a stronger and more sustainable budget, with lower deficits and less debt. The budget is \$44.9 billion stronger over the forward estimates than the mid-year update and more than a quarter of a trillion dollars better over the eight years to 2029–30 than the estimates the Government inherited.

The underlying cash balance is better in every year of the forward estimates and the medium term compared to the 2025–26 MYEFO. The improvement in the bottom line has meant gross debt is lower over the next decade, rebuilding fiscal buffers during a time of extreme global uncertainty.

The Government's responsible fiscal management is underpinned by savings and reprioritisations, spending restraint and banking revenue upgrades. These actions mean this Budget is helping to take pressure off inflation and delivering substantial improvements in the fiscal position over time.

The Government has identified \$63.8 billion in savings and reprioritisations in this update, taking the total to \$177.9 billion since the 2022 PEFO. These savings are improving the structural position of the budget overtime and providing room to responsibly fund important priorities.

The Government has made net policy decisions that improve the budget position for the second consecutive update. After accounting for existing provisions, the net impact of decisions in this Budget is \$26.1 billion over the forward estimates. The Government's decision to save more than it spends means that every single dollar of tax receipt upgrades has been returned to the budget for the second consecutive update.

The Government's ability to keep spending restrained means that real payments growth averages 1.5 per cent over the eight years to 2029–30, less than half the 30-year average. Payments as a share of the economy are forecast to decline from 26.8 per cent in 2026–27 to 26.2 per cent in 2029–30.

Gross debt is forecast to peak earlier and lower than at MYEFO. Gross debt is forecast to peak within the forward estimates at 35.8 per cent of GDP, 1.2 percentage points below MYEFO and 9.1 percentage points below the 2022 PEFO. Gross debt is \$18 billion lower in 2026–27 than at MYEFO. Compared to the 2022 PEFO, gross debt is \$173 billion lower in 2026–27 which means more than \$70 billion in interest costs are saved over the decade.

Australia has lower gross debt than every major advanced economy and this Budget is consistent with this continuing, with gross debt declining to 27.2 per cent of GDP by the end of the medium term.

Table 1.2: Budget aggregates

	Actual	Estimates					Projections
	2024-25	2025-26	2026-27	2027-28	2028-29	2029-30	2036-37
	\$b	\$b	\$b	\$b	\$b	\$b	\$b
Underlying cash balance	-10.0	-28.3	-31.5	-31.0	-34.4	-25.3	-150.5
Per cent of GDP	-0.4	-1.0	-1.0	-1.0	-1.0	-0.7	0.8
Gross debt(b)	928.6	982.0	1,051.0	1,120.0	1,193.0	1,249.0	
Per cent of GDP	33.4	33.1	34.0	35.2	35.8	35.6	27.2
Net debt(c)	532.3	556.0	616.6	668.8	725.5	767.8	
Per cent of GDP	19.2	18.8	19.9	21.0	21.8	21.9	15.1

a) Total is equal to the sum of amounts from 2025–26 to 2029–30.

b) Gross debt measures the face value of Australian Government Securities (AGS) on issue as at the end of the financial year.

c) Net debt is the sum of interest bearing liabilities (which includes AGS on issue measured at market value) less the sum of selected financial assets (cash and deposits, advances paid and investments, loans and placements) as at the end of the financial year.

This Budget rebuilds fiscal buffers over the medium-term, with the budget forecast to return to balance in 2034–35. This projection is a result of the Government's substantial expenditure savings and reforms to the tax system.

The fiscal improvements in this Budget have been achieved alongside funding for automatic payments variations and addressing unavoidable decisions. This Budget includes \$11.8 billion in increased social security payments to people with a disability, carers, pensioners, young people, families and those who are unemployed. This is in part driven by higher automatic payment indexation, which will help shield the most vulnerable from the impacts of the global oil shock. The Government also expects costs for disaster relief to increase by \$2.5 billion, driven by costs of new disasters that occurred over the summer of 2025–26.

The Government has also taken \$14 billion in unavoidable decisions to strengthen essential services that Australians rely on and address urgent and unforeseen issues.

Sensible and responsible savings

Through making sensible savings decisions and spending restraint, the Government has acted to help contain growing cost pressures and safeguard the long-term sustainability and continuity of services Australians rely on. Key savings since the MYEFO include:

- securing the future of the National Disability Insurance Scheme (NDIS) by returning it to its original intent of providing reasonable and necessary supports for Australians with permanent and significant disability
- further reducing public service spending on external labour and other non-wage expenses, such as travel, property and hospitality
- aligning private health insurance rebate entitlements across age groups to strengthen intergenerational equity, and
- returning uncommitted funding across discretionary programs, including the Battery Breakthrough Initiative, Hydrogen Headstart, Solar Sunshot and Australia's Economic Accelerator programs.

Responding to the global oil shock

The conflict in the Middle East has disrupted global oil supply, with the Government acting rapidly to shield Australians from the worst of the global oil shock and keep the country moving. The Government is taking action to deliver a \$14.8 billion Strengthening Australia's Fuel Resilience package to boost our fuel supply, reinforce our supply chains, support households and businesses and increase Australia's fuel security and resilience.

Boosting Australia's fuel security

The Government has acted quickly to bolster near-term fuel security, secure additional supply, and ensure that Australia is well-positioned for future shocks.

Securing fuel and building up reserves

In the immediate response to the crisis, the Government secured more than one billion extra litres of fuel for the period from March to June. Temporary changes to the Minimum Stockholding Obligations for diesel and petrol have released 757 million litres of additional fuel in the Australian market. Fuel standards have also been relaxed to make 100 million extra litres of petrol a month available as well as increasing supply options from local production and trading partners such as the United States, Canada and Europe.

The \$7.5 billion Fuel and Fertiliser Security Facility is central to the Government's commitment to preserving our energy sovereignty. This has enabled Export Finance Australia to secure over 450 million litres of additional diesel and around 100 million litres of additional jet fuel while supporting private sector storage.

The Government is also working with industry to increase the Minimum Stockholding Obligation for every type of fuel by around ten days, alongside an additional 10-day uplift of diesel and jet fuel through the \$3.2 billion Australian Fuel Security Reserve. This will ensure at least 50 days of supply and storage of jet fuel and diesel.

To ensure domestic fuel refiners continue to operate over the next decade, the Government has amended the Fuel Security Services Payment to make it easier for refineries to access existing funds and better reflect market conditions. The Government has also committed \$10.0 million to explore new fuel security initiatives, including to support feasibility studies into new or expanded refining capabilities, to be co-funded with state and territory jurisdictions.

Ensuring a coordinated national response

To strengthen Australia's supply chain resilience and to coordinate planning across the country, the Government provided \$9.2 million to establish a Fuel Supply Taskforce (the Taskforce). The Taskforce is ensuring that Australia responds to the global oil shock, secures fuel supply in a coordinated manner and provides consistent messaging to households and businesses. The Government has also launched a national advertising campaign to support the delivery of the National Fuel Security Plan, which encourages people to take voluntary and practical actions that reduce fuel demand.

The Government is working closely with our international partners to ensure the supply of critical goods since the outbreak of the conflict in the Middle East. Working with industry and the Indonesian Government, the Government has secured an additional 250,000 tonnes of agricultural grade urea for Australian farmers. The Government has engaged directly with key trading partners, including agreeing joint statements with Japan, the Republic of Korea, Singapore, Malaysia and Brunei Darussalam affirming our shared commitment to being reliable suppliers of critical goods.

Strengthening supply chains

The Government is helping businesses manage market disruptions and adapt their operations.

Through the National Reconstruction Fund's \$1.0 billion Economic Resilience Program, the Government is providing interest free loans to help manufacturing and logistics businesses in critical supply chains manage market disruption. This complements the \$5.0 billion Net Zero Fund established in MYEFO, which provides concessional capital for business upgrades that reduce emissions.

The Government has also more than halved the fuel excise and reduced the heavy vehicle road user charge to zero for three months, and is streamlining biosecurity border processes to help get fertiliser to farms faster and providing an additional \$8.2 million to support the delay of cost recovery for agricultural export services as further relief to farmers and producers.

The Government will provide \$55 million for a Transport Resilience and Capacity Kickstart pilot program to incentivise more freight to move via trains and cargo ships – improving fuel efficiency and supply chain resilience in the context of the global oil shock.

The Government has also established the Trade Resilience Service (the TRS) in response to the crisis in the Middle East. The service equips exporters with key logistics and freight information and market intelligence to help them continue to supply their products to international customers, maintain export reliant jobs, identify shipping routes for essential imported inputs and inform operational decision making and strategic planning. The TRS operates alongside the \$50.0 million Accessing New Markets Initiative, which the Government is expanding, to help Australian businesses build resilience through growing and diversifying their exports.

Building energy sovereignty

The Government is improving Australia's longer-term resilience to energy shocks by producing more energy here and guaranteeing users' supply. These actions will provide Australians with more choice in how they power their homes, businesses and vehicles, reducing their dependence on imported fuels and vulnerability to high global energy prices.

Establishing a domestic gas reservation

The Government is introducing a domestic gas reservation so that LNG exporters supply a proportion of their total production to the domestic market, equivalent to 20 per cent of exports. This will secure additional supply of gas, drive downward pressure on prices for all users and build out domestic energy resilience in the face of volatile international markets.

The domestic reservation scheme will commence on 1 July 2027, with final consultation on legislation throughout June and July 2026. Design will be guided by principles announced in December 2025, including that existing contracts will be respected. The Government is providing \$35.5 million to support the implementation of the reserve, and streamline gas regulatory frameworks, with the reservation superseding the Australian Domestic Gas Security Mechanism and Heads of Agreements and enabling further reform to the Gas Market Code.

Making more clean fuels here

The Government is committed to developing a domestic low carbon liquid fuels industry to support Australia's long-term economic resilience and fuel security. This is underpinned by the \$1.1 billion investment through the Cleaner Fuels Program announced at MYEFO, which will provide production support for new low carbon liquid fuel projects. We are also progressing the \$1 billion Round 2 of the Hydrogen Headstart program to provide revenue support for large-scale renewable hydrogen projects.

The Government is also taking actions to support broader market development. This includes investing in a green fuel bunkering strategy and progressing further work with industry to introduce a market measure that drives demand for new Australian low carbon liquid fuel production. This will reduce our reliance on imported fuels, improving the resilience of our domestic fuel supply.

Electrifying freight and transit

The Government is making it easier for businesses and households to switch to cleaner, cheaper to run vehicles through support for electric vehicles and charging infrastructure.

The electric car discount introduced by the Government in 2022 has encouraged growth in electric vehicle (EV) sales, with Australians now having access to a wider range of EVs. This has reduced carbon emissions and the reliance on oil, and helped motorists slash their fuel bills.

The Government will transition the arrangements to support electric cars to a permanent 25 per cent fringe benefits tax (FBT) discount for eligible electric cars costing over \$75,000 from 1 April 2027 and for all eligible electric cars from 1 April 2029. Electric cars costing up to \$75,000 will continue to receive a full FBT exemption provided the fringe benefit arrangement commences before 1 April 2029.

Transitional support targets cars costing up to \$75,000 to further incentivise the supply of more affordable electric cars while moving to more sustainable settings for the future. These new arrangements reflect the recommendations of the statutory review of the electric car discount policy.

The Government is also releasing \$40.0 million over four years from 2025–26 to accelerate the rollout of EV chargers in regional blackspots and on kerbsides to support Australians with their choice to purchase an EV. This program, which formed part of the Government's Net Zero Plan package in MYEFO, leverages the complementary strengths of charge point operators and distribution network service providers to reduce costs and deployment timeframes.

In this context, the Government is updating the Dealership and Repairer Initiative for Vehicle Electrification Nationally program to support growing consumer demand for electric vehicles and the transition to more efficient vehicles. The expanded program will help eligible businesses meet the additional costs associated with selling and servicing EVs, including equipment and tooling needed to support EV capacity, alongside continued assistance for charging infrastructure.

The Government will also provide a further \$40.5 million to accelerate the electrification of Australia Post's delivery fleet.

These initiatives complement National Competition Policy reforms with the states and territories to increase transport productivity and support the uptake of heavy zero emissions vehicles.

Taking pressure off Australians

The Government is taking pressure off Australians, families and businesses with immediate relief in response to the global oil shock and helping ease cost-of-living pressures with ongoing support.

Tax cuts to help with the cost-of-living

The Government's legislated tax cuts are rolling out for every Australian taxpayer this year and next year. From 1 July 2026, the 16 per cent rate, which applies to income between \$18,201 and \$45,000, will be reduced to 15 per cent and from 1 July 2027 it will reduce further to 14 per cent. These tax cuts will provide cost-of-living relief and return bracket creep, building on tax cuts that took effect in 2024.

In this Budget, the Government is delivering another tax cut for Australian workers by introducing the Working Australians Tax Offset (WATO). The WATO will provide an annual tax offset of up to \$250 for income earned by Australian workers from the 2027–28 income year onwards, paid automatically in workers' tax returns. The WATO will provide a tax cut to over 13 million working Australians.

Individuals earning income from work will also be able to receive an instant tax deduction of up to \$1,000 from the 2026–27 income year, making the tax system simpler and delivering additional relief to Australian workers.

The Government will also increase the Medicare levy low-income thresholds for singles, families, and seniors and pensioners by 2.9 per cent from the 2025–26 income year, providing further cost-of-living relief. This increase will benefit more than one million Australians on lower incomes who will continue to be exempt from the Medicare levy or pay a reduced levy rate. This measure is estimated to decrease receipts by \$450.0 million over the five years from 2025–26.

Helping Australians with the cost of fuel

Taking the sting out of fuel prices

The Government has delivered a \$2.9 billion package to more than halve the fuel excise and excise-equivalent customs duties (excise) and reduce the heavy vehicle road user charge to zero for a temporary three-month period. In total, the rate of excise on petrol and diesel has been reduced by 32 cents, cutting the cost of a 65-litre tank of fuel by nearly \$23. State and territory governments will provide the Commonwealth up to \$400.0 million to enable increased GST revenue on fuel due to higher fuel prices to be returned through lower excise, which equates to 5.7 cents per litre of the cut for petrol and diesel.

A fair go for consumers and small business

The Government has directed the Australian Competition and Consumer Commission (ACCC) to increase fuel price monitoring, with weekly public reporting across capital cities and more than 190 regional locations to improve transparency, promote competition and support consumers during the current Middle East conflict. The Government is also increasing the ACCC's enforcement resourcing and has strengthened competition and consumer protections by doubling maximum penalties to \$100.0 million for serious breaches of competition law and consumer laws. Legislative changes are also being progressed to allow an increase in maximum penalties that can be imposed for breaches of the Oil Code of Conduct in the fuel industry. Stronger penalties will help deter suppliers from exploiting the current crisis, protecting consumers from anti-competitive, misleading and otherwise illegal practices.

Small business supports

The Government is continuing to support small businesses to access credit by extending the Small Business Responsible Lending Obligation exemption for a further ten years to prevent burdens and delays when accessing loans.

The Australian Taxation Office (ATO) is streamlining access to temporary relief from tax obligations for eligible businesses until 30 June 2026. This includes more generous payment plans, remission of interest and penalties, and support in varying pay as you go (PAYG) instalments where there has been a reduction in taxable income. The Fair Work Commission has also been empowered to make time-sensitive orders to help truck drivers and transport operators recover costs from higher fuel prices.

Small businesses can also access existing financial and mental wellbeing supports through the NewAccess for Small Business Owners and the Small Business Debt Helpline. The Government is delivering \$8.0 million in additional funding to extend these programs for a further 12 months from 1 July 2026.

More homes and a fair go for first home buyers

This Budget builds on the Government's substantial housing agenda by reforming the tax system to help more Australians own their own home, boosting housing supply, continuing to support renters and securing more housing for vulnerable Australians.

Helping more Australians own their own home

The Government is reforming negative gearing and capital gains tax (CGT) concessions to help level the playing field for first home buyers and support more Australians to realise the dream of homeownership. These tax changes are estimated to support an additional 75,000 first home buyers over the decade. New builds will be exempt from the changes to support investment in additional housing supply alongside the Government's pro-supply policies, including new measures in this Budget.

Building more homes

The Government is establishing a new \$2.0 billion Local Infrastructure Fund to help local governments and state utilities build essential infrastructure to support new housing – including by connecting essential services such as water, power, sewerage and roads. This funding will support up to 65,000 homes over the decade and brings the Government’s total investment in housing enabling infrastructure to \$6.3 billion since coming to government, with a further \$5.9 billion available to states and territories as part of the 100,000 Homes for First Home Buyers program.

The Local Infrastructure Fund is available in states and territories that commit to further reform to drive productivity in the housing sector including by speeding up and simplifying approvals, making more land available and ready for new homes and simplifying the National Construction Code – changes that could support tens of thousands more homes across Australia.

Banning foreign investors from buying existing homes

The Government is extending the ban on foreign purchases of established dwellings by two years and three months until 30 June 2029, helping more Australians buy homes that would otherwise be bought by foreign investors. Current limited exceptions to the ban for purchases of established dwellings that support housing supply will continue. General exemptions from foreign investment screening will also continue to apply for purchases of established dwellings, including for permanent residents and New Zealand citizens.

Making renting fairer and more affordable

The Government continues to work with states and territories to harmonise and strengthen renters’ rights across Australia through A Better Deal for Renters. The Government has also strengthened affordability standards for tax measures that support greater investment in build-to-rent developments. Industry estimates that these measures will support the construction of around 80,000 new rental homes over the next decade, including up to 1,200 affordable homes in the near term.

The Government has already delivered back-to-back increases in fortnightly rates of Commonwealth Rent Assistance (CRA), and continues to support over 1.4 million Australians through CRA. Combined with regular indexation, maximum rates of CRA have increased by over 50 per cent since March 2022.

Securing more housing for Australians doing it tough

The Government will provide \$59.4 million over four years from 2026–27 to states to supplement rental income for Community Housing Providers providing social housing for over 4,000 young people aged 16–24 who are at risk of, or experiencing, homelessness. The Government is continuing to roll out an ambitious social and affordable housing agenda, delivering 55,000 social and affordable homes across Australia. This Budget also releases a further \$100.0 million from the Housing Australia Future Fund to improve the quality of housing for First Nations Australians in remote communities.

More affordable and accessible health care

The Government is making health care more affordable and accessible, through record investment in public hospitals, ongoing funding for Medicare Urgent Care Clinics, and new and amended listings on the Pharmaceutical Benefits Scheme (PBS).

Cheaper medicines

The Government is providing \$5.9 billion for new and amended PBS listings, including treatments for cystic fibrosis, chronic kidney disease, various cancers and more. The Budget also permanently subsidises COVID-19 oral antiviral medicines through the PBS.

To protect eligible older Australians from respiratory syncytial virus (RSV), this Budget provides \$449.3 million to list the RSV vaccine Arexvy® on the National Immunisation Program, at no cost to patients.

Funding hospitals and urgent care

The Government is investing an additional \$25.0 billion over five years from 2026–27 for Australia's public hospitals, including as part of the new National Health Reform Agreement (NHRA) Addendum. The Addendum embeds key reforms to make Australia's hospital and health care system more effective, efficient and equitable. This includes \$221.0 million in 2026–27 for smaller jurisdictions to reflect additional cost challenges, and \$92.8 million for data and digital reforms to upgrade digitally enabled health care for patients and practitioners.

Medicare Urgent Care Clinics have already delivered almost 3 million free visits nationwide. This Budget provides \$1.8 billion over five years (and \$580.2 million per year ongoing) to make Medicare Urgent Care Clinics a permanent feature of Australia's health system. These clinics mean Australians can get bulk billed urgent health care, seven days a week, across extended hours, while also taking pressure off local hospital emergency departments.

Public dental services for adults

For the first time, the Government will permanently fund the Public Dental Services for Adults agreement to support the delivery of dental services to eligible adult patients, providing \$431.0 million (and \$107.8 million per year ongoing).

Mental health care

The Government will provide \$277.5 million in 2026–27 for a 12-month extension of the National Mental Health and Suicide Prevention Agreement to deliver continuity of supports across Australia, including free services such as Medicare Mental Health Centres and headspace clinics. This builds on the Government's \$1.1 billion package to deliver expanded mental health services including 32 new and upgraded Medicare Mental Health Centres and 58 new, upgraded or expanded headspace services.

Supporting fair wages

The Government has backed wage growth for low-paid workers in each of the last four Annual Wage Reviews. Across these reviews, the National Minimum Wage increased by over \$9,120 per year. For the upcoming 2026 Annual Wage Review decision, the Government has recommended the Fair Work Commission award an economically sustainable real wage increase to Australia's award workers.

The Fair Work Commission has decided to phase out junior pay rates for 18- to 20-year olds in retail, fast food and pharmacy modern awards, to ensure young workers get fair wages.

The Government is continuing to support the Fair Work Commission's Gender Undervaluation – Priority Awards Review, which is seeking to remedy potential historical undervaluation in awards used in certain female-dominated industries. The Fair Work Commission found historical gender undervaluation occurred for the five awards considered and determined wage increases for occupations covered by the *Aboriginal and Torres Strait Islander Health Workers and Practitioners and Aboriginal Community-Controlled Health Services Award 2020*, *Children's Services Award 2010*, *Health Professionals and Support Services Award 2020* and *Pharmacy Industry Award 2020*, with further decisions to come. The Review is expected to be finalised this year.

Making our economy more productive

Improving productivity is central to the Government's economic plan to grow Australia's economy. The Government has a comprehensive productivity package that helps reduce regulatory costs and supports higher living standards for all Australians. These reforms will reduce regulatory burden by \$10.2 billion each year.

Box 1.1 Boosting Productivity

The Government is delivering an ambitious productivity agenda, based on five pillars: creating a more dynamic and resilient economy, building a skilled and adaptable workforce, harnessing data and digital technology, delivering quality care more efficiently, and investing in cheaper, cleaner energy and the net zero transformation.

Significant progress was made in the first term of the Government, including landmark merger reform, moving to ban non-competes, establishing the Capacity Investment Scheme and making meaningful investments in skills and training.

However, productivity growth in the decade to 2020 was the slowest in 60 years and it will take ongoing reforms to turn this trajectory around.

Boosting productivity growth is a major focus for this term of government. At the Economic Reform Roundtable, leaders across business, unions, civil society and government discussed more than 300 ideas and contributions. The Productivity Commission released inquiries on each of the five pillars, recommending reform in 17 areas.

This Budget builds on this work and delivers a package of productivity enhancing reforms that make it easier to do business and reduce compliance costs, make it easier to build, and make it easier to invest and innovate.

Our productivity package will cut compliance costs by \$10.2 billion each year and unlock a further \$400.0 million in Research and Development (R&D) investment by young firms each year. Long-run GDP is also likely to be boosted by around \$13 billion a year via work underway with states and territories under National Competition Policy.

The Government is now progressing 13 of 17 reform areas identified by the Productivity Commission's five pillar inquiries, and the majority of near-term recommendations for the Commonwealth.

Incentivising investment and innovation

This Budget boosts productivity through a tax reform package including over \$3.5 billion in new measures that lower taxes for businesses to encourage investment and innovation. The package includes loss carry back to support resilience, investment and risk taking, introducing loss refundability to help start-ups invest and grow, making the \$20,000 instant asset write-off permanent and expanding tax incentives for venture capital to help unlock patient capital for young, expanding firms. The Government is also better targeting the Research and Development Tax Incentive to unlock \$400.0 million per year in additional R&D by young firms.

Strengthening the superannuation performance test

The Government will strengthen the superannuation performance test to help reduce unintended barriers to investment for Australia's \$4.5 trillion superannuation sector, supporting the efficient flow of capital across the economy to drive innovation and economic growth, while helping Australians achieve better retirement outcomes. Reforms will ensure the test remains fit for purpose and supports strong member outcomes.

Better coordinating Government investment

The Government recently established the Investor Council as a forum for the Government's independent, expert-led specialist investment vehicles and key agencies to share information, identify barriers to investment and coordinate investment. This Budget enhances the role of the Investor Front Door as the single point of entry for Commonwealth project facilitation and the chair of the Investor Council, where it will connect the Investor Council with insights about Government priorities and reforms underway to streamline approval processes.

The Government is leveraging its specialist investment vehicles to deliver on Government priorities. The Government has enabled the National Reconstruction Fund's \$1 billion Economic Resilience Program to provide interest free loans to help manufacturing and logistics businesses during the current market disruption. It has expanded the remit of Export Finance Australia, to enable the delivery of the Fuel and Fertiliser Security Facility. Additionally, amendments to the Clean Energy Finance Corporation's Investment Mandate have simplified administrative arrangements.

Reducing red tape

The Government will reduce regulatory burden in the financial sector by \$780 million per year by progressing 14 legislative reforms. The reforms include increasing the monetary thresholds for large proprietary companies, improving the efficiency of climate-related financial disclosures, further modernising business communications by making electronic recordkeeping and communication with ASIC easier and extending previous technology neutrality reforms to the Australian Small Business and Family Enterprise Ombudsman, and increasing the cap on banks' covered bond issuance.

Reducing unnecessary red tape and supporting modernised business communications, will reduce costs for Australian businesses and allow them to operate more flexibly.

In addition to these reforms, Council of Financial Regulators agencies are taking 13 actions to reduce duplicative, inconsistent or opaque data requests through improved coordination, planning and engagement with industry, and streamlining existing data collections. These changes will reduce costs and uncertainty for financial institutions.

Financial regulators will also continue delivering more than 50 commitments in the Better Regulation Roadmap implementation plan.

Together these actions will reduce costs by a further \$181.0 million each year.

The Government is also introducing new measures that will mean individuals and businesses spend less time on compliance when it comes to tax and tariff obligations while also ensuring the system is set up for the long term. These new measures, including the latest round of nuisance tariff abolition detailed below, are estimated to reduce compliance costs by around \$540.0 million per year.

Removing barriers to trade

The Government will abolish an additional 497 nuisance tariffs from 1 July 2026. This builds on the removal of 457 nuisance tariffs in July 2024. Together, the Government will have removed almost 1,000 tariffs over two years. This will streamline around \$23.0 billion worth of trade and save businesses \$157.0 million in compliance costs per year.

In addition, the Government will consult on abolishing additional tariffs to cut costs for Australian businesses.

The Government is providing \$7.6 million over four years to expand the Australian Trusted Trader program, reducing red tape at the border and providing faster access to markets for more trusted importers and exporters. The Government continues to support simplified trade regulatory reforms that will streamline business interaction with government while maintaining strong border integrity. Given the ongoing consequences of the conflict, the Government is also streamlining biosecurity border processes to help get fertiliser to farmers faster.

Together, these efforts are simplifying trade and easing regulatory burdens for more Australian businesses, strengthening competitiveness and enhancing productivity

Building a single national market

Under National Competition Policy, the Government is working with the states and territories to create a single national market for goods, to allow products to move freely and seamlessly across borders without entering a new regulatory system. These reforms will boost long-run GDP by around \$13.0 billion a year, once fully implemented. New reforms include working with the states and territories on targeted harmonisation of retail tenancies, agricultural and veterinary chemicals regulation and payroll tax administrative arrangements. This builds on existing reforms including recognising trusted overseas and

international standards for product safety, and work with states and territories to harmonise standards for building and construction, waste and recycling, and household electrical consumer products.

The Government is also working to create a single national market for workers, including progressing national licensing, prioritising the electrical and engineering occupations, and establishing a national approach to worker screening in the care and support economy.

Making it easier to engage with government

Modernising and simplifying our financial system frameworks and data communications helps reduce unnecessary red tape, streamline data collection and improve coordination across the financial system. The Government is continuing to make engagement easier and quicker through reforms such as:

- expanding the Digital ID as a simple and secure way for Australians to verify their identity and access 255 government services online, delivering efficiencies and fraud reduction benefits across government and accredited private sector providers
- extending the operation of the Consumer Data Right (the CDR), including to explore the potential for taxpayers to safely share their ATO-held data; and, in a pilot with industry, investigating whether using the CDR and Digital ID programs can better protect renters' personal information while making rental applications easier
- progressing reforms to deliver a tell us once approach that reduces the amount of time Australians spend providing the same information across different areas of government
- strengthening digital authentication and continued investment in business registry stabilisation and uplift, including linking Director IDs to ASIC's Companies Register, making it easier to start new businesses and update and access information on Australia's businesses, and
- rebuilding ABN and Super Fund Lookup services, and improving synchronisation between ASIC and the Australian Charities and Not-for-profits Commission registers, to improve data quality, system reliability and access to trusted information for compliance and due diligence.

Driving ongoing regulatory reform

The Government is undertaking reforms to continuously improve and modernise regulation, while ensuring essential protections remain effective over time, including developing regular Regulatory Reform Omnibus Bills to build on the 60 measures legislated in 2025.

Regulatory deep dives are being progressed in priority areas – the financial sector, tax, young firms and business dynamism, housing, higher education regulation, the national construction code, data centre approvals and 'white tape' – to strengthen regulatory systems while reducing burden.

The Government is also embedding productivity in regulatory practice and performance by updating Ministerial Statements of Expectations and will improve the Impact Analysis framework, from 1 July 2026, to ensure key regulatory policies are better shaped by more timely and concise analysis.

Accelerating approvals

Faster and more predictable approval processes encourage private investment and can support the uptake of new technologies. By making it easier to seek environmental approvals, upgrade telecommunications infrastructure and attract foreign investment, the Government is also helping speed up work on new projects.

Faster environmental approval processes

The *Environment Protection and Biodiversity Conservation Act 1999* (EPBC Act) and regulations are Australia's main national environmental legislation. The Government's landmark 2025 reforms to the EPBC Act will make project assessments clearer, faster and more consistent, while strengthening environmental protections and enabling better cooperation with states and territories. Streamlining assessment pathways is estimated to reduce regulatory burden by up to \$6.9 billion each year. The Government is investing more than \$500.0 million to implement these reforms:

- ongoing funding to establish the new National Environmental Protection Agency as a statutory agency from 1 July 2026, responsible for enforcing environmental laws, conducting audits, strengthening environmental protection and streamlining project approvals
- \$105.9 million to enable simpler and faster environmental approvals through better access to environmental information and data and by deploying AI
- \$47.6 million to progress bilateral agreements with states and territories, to enable states to conduct assessments and approvals on the Commonwealth's behalf, to reduce duplication and ensure more efficient processing of environmental approvals
- \$36.9 million to bolster the Nature Repair Market to enable biodiversity certificates to also be used as environmental offsets
- \$28.0 million to further support forestry operations under Regional Forest Agreements to meet the new regulatory requirements

- \$26.4 million for the Department of Climate Change, Energy, the Environment and Water and the National Environmental Protection Agency to work with the states and territories to develop new bioregional plans and strategic assessments which will fast-track approvals in priority areas including housing, renewable energy and critical minerals
- \$13.2 million to establish the new Restoration Contributions Holder, and
- funding to support the states and territories to implement bioregional plans and strategic assessments in priority areas.

Telecommunications infrastructure

The Government will modernise the *Telecommunications Act 1997* and the *National Broadband Network Companies Act 2011* to improve the rollout of fibre and new telecommunications infrastructure, enable the removal of redundant facilities and enhance National Broadband Network services in multi-dwelling and commercial buildings. This will support further investment in digital connectivity.

Streamlining and strengthening foreign investment

Further streamlining of the foreign investment framework will reduce barriers for low-risk investments and accelerate low-risk approvals. The reforms will also strengthen tools to identify and manage risks and non-compliance. The net direct regulatory burden will reduce by up to \$16 million each year.

Clearer consultation requirements for offshore resources projects

This Budget invests in legislative reforms that reduce regulatory duplication and clarify community consultation requirements necessary for offshore resources projects, providing more certainty for investment and better consultation outcomes for local communities, including First Nations communities. This will speed up assessment timeframes, reduce regulatory compliance costs and provide greater legal certainty for titleholders and regulators.

Establishing a single entry point for Commonwealth project facilitation

The Investor Front Door will become the single entry point for projects seeking Commonwealth regulatory and investment facilitation through consolidating the Major Projects Facilitation Agency and the major project investment facilitation functions of the Net Zero Economy Authority into the Investor Front Door, as part of the Government's Future Made in Australia effort to attract and accelerate nationally significant investments. It will work with states and territories to set target timeframes for pilot projects. The Government is also strengthening the Investor Council to support the Investor Front Door to prioritise investment proposals, coordinate public financing and provide a forum to share information on the broader regulatory and investment landscape.

Building more homes

The Government is providing \$2 billion for a new stream of the Housing Support Program – the Local Infrastructure Fund – to help local governments and state utility providers build the critical ‘last mile’ infrastructure needed to support new housing developments. This funding will support up to 65,000 homes over ten years. This funding is available in states and territories that commit to further reforms to drive productivity in the housing sector and support further increases to housing supply. This includes speeding up and simplifying approvals, making more land available and ready for new homes and delivering a simpler National Construction Code. These changes could support tens of thousands more homes across Australia and an estimated regulatory save of up to \$3 billion a year, based on a scenario in which regulatory costs are reduced by 10 per cent.

Simplify building regulations

The Government is making all mandatory Australian standards free, including across construction, occupational health and safety, and product safety, saving small electrical, plumbing and construction firms up to \$1600 in access fees. This measure will also help improve the quality and safety of goods and services for consumers.

Simplifying building regulations reduces building costs and improves construction productivity. Under National Competition Policy, the Government is delivering new agreements with states and territories to remove barriers to modern methods of construction in housing and streamline commercial planning and zoning regulations

Modernising energy markets

The Government is working collaboratively with states and territories to pursue some of the most significant reforms to Australia’s energy markets since the establishment of the National Electricity Market (NEM) in the 1990s.

In November 2024, the Australian Government commissioned an independent review of the NEM wholesale market settings. In December 2025, the Government welcomed the expert panel’s recommended range of reforms, which are focused on strengthening market incentives and preserving competition to support an orderly and efficient transition to renewable energy.

If agreed by all states and territories and implemented, the Review’s recommendation would:

- address key barriers to investment by strengthening long term price signals
- improve competition by levelling the playing field between vertically integrated ‘gentailers’ and other generators and retailers and
- enable greater participation of smaller scale resources such as rooftop solar and household batteries in the wholesale market.

At the 8 May Energy and Climate Change Ministerial Council, a strong majority of Energy Ministers agreed to develop a legislative package to implement measures recommended by the NEM review panel and continue the preparatory work related to the establishment of the Electricity Services Entry Mechanism and Market Making Obligation.

The Government is taking action to enable these reforms, which complement its broader energy strategy, including actions taken in this Budget. By establishing a Consumer Energy Resources National Technical Regulator, we will set the technical requirements to allow consumers to benefit from their solar, batteries and EVs supporting the grid. Over 370,000 batteries have been installed through the Cheaper Home Batteries program, complementing the 4.3 million solar PV systems on Australian rooftops. The coordination of households batteries and, in future, vehicle-to-grid could reduce system costs by over \$7.0 billion to 2050.

These reforms contribute to the Government's broader National Competition Policy agenda and build on the establishment of the NEM through the Hilmer National Competition Policy reforms in 1994.

They complement reforms to gas and liquid fuel markets, such as the Domestic Gas Reservation, which will provide Australians with greater energy sovereignty, strengthening supply security and building resilience against volatile international markets.

Better recognising skills

The Government is investing \$85.2 million to deliver faster skills assessments for migrant trades workers and to accelerate occupational licensing. Once implemented, these changes could cut the time taken to enter the workforce by up to 6 months and facilitate up to an additional 4,000 skilled trades workers into the workforce per year.

As part of this investment, Trades Recognition Australia will deliver a new program of skills assessments for onshore visa holders, ensuring their existing qualifications and practical trade experience are recognised for the purposes of gaining employment and meeting workforce shortages.

The Government is also reforming the permanent migration points test, to select better educated, higher-skilled and younger migrants overall.

University students with relevant vocational education and training (VET) qualifications will have the length and cost of their study reduced through the development of a National Credit Recognition Framework. The Australian Tertiary Education Commission will develop the Framework to strengthen the recognition of VET qualifications and reduce unnecessary repetition. Almost 25,000 students started a bachelor degree in 2024 through a VET pathway, with many moving into priority skills areas including nursing, teacher education and construction.

The Government is also helping teachers access high-quality evidence-based teaching supports, as identified in the Productivity Commission’s recommendations on building a skilled and adaptable workforce.

Unlocking the data and AI opportunity

The Government is ensuring all Australians benefit from AI by continuing to progress actions under the National AI Plan. These include:

- accelerating the development and commercialisation of AI by Australian researchers and businesses by making up to \$70m available through upcoming rounds of the Cooperative Research Centres (CRC) and CRC-P program starting in 2026 and 2027 for an ‘AI Accelerator’
- launching AI.gov.au – the trusted, practical resource to help organisations understand, plan for and use AI responsibly.
- improving service delivery and efficiency across public sector agencies, including accelerating environmental approvals and piloting an AI-enabled digital tool to improve the use of the National Construction Code
- advancing data policy by acting on the Statutory Review of the Data Availability and Transparency Act 2022 to better support government data sharing
- aligning data centre investment with Australia’s national interests by setting expectations for data centre developers
- developing collaborative arrangements with leading international and domestic AI and technology companies, including two Memoranda of Understanding with major tech companies Anthropic and Microsoft, and
- working collaboratively to keep Australians safe under existing regulatory frameworks, including by establishing the AI Safety Institute and through the Copyright and Artificial Intelligence Reference Group and the AI Employment and Workplaces Forum.

Investing in science and innovation

In this Budget, the Government is significantly improving its investment in R&D. The *Ambitious Australia: Strategic Examination of Research and Development* final report highlighted the critical role of R&D in fuelling innovation and productivity improvements across the economy, and that more can be done to get value from Government investment.

To help guide the Government’s more-than \$39.0 billion investment in R&D, this Budget establishes a new National Resilience and Science Council. This will provide strategic oversight of key innovation investments to better align them with Australia’s economic objectives, and will advise on the Government’s ongoing response to *Ambitious Australia*.

The Government is committing \$1.5 billion to strengthening our science capabilities and institutions, including the Commonwealth Scientific and Industrial Research Organisation, the National Measurement Institute, the Australian Space Agency and the Square Kilometre Array. Sustaining Australia's science and research capabilities will power future productivity and build economic resilience.

Work is also progressing to reform registration requirements so that universities can achieve research specialisation in chosen areas of focus. This will enable universities to build scale in areas of comparative and competitive advantage. Reduced research compliance pressures will allow for greater investment in undergraduate teaching and learning in non-research-intensive disciplines

The Government is advancing a forward-looking vision for financial innovation, tokenisation and payments reform to support regulatory coordination, industry adoption and the productivity agenda. The Government will maintain momentum on initiatives delivered this financial year by regulators establishing a regulatory sandbox to support testing of use cases for tokenised assets, strengthening regulator-industry cooperation, analysing the market for a tokenised government bond, and developing a new strategic plan for the payments system.

The reforms to R&D funding programs are complemented by tax reforms targeted at unlocking investment and promoting innovation by Australian businesses. The reforms to the Research and Development Tax Incentive will better target the incentive and unlock \$400.0 million more investment in R&D by young firms each year. Reforms to the treatment of losses, expanding venture capital incentives and making the \$20,000 instant asset write-off permanent will support resilience, investment and risk taking.

Tax reform for workers, businesses and future generations

This Budget includes a comprehensive tax reform package that represents the most significant transformation of Australia's tax system in more than a quarter of a century.

The package is designed to deliver tax cuts for working Australians, enable more Australians to realise the goal of home ownership, and strengthen incentives for investment and innovation (see *Statement No. 4: A Better Tax System for Workers, Businesses and future generations*).

The Government's tax reforms are structured in three parts:

1. A fairer tax system for workers, first home buyers and future generations
2. A better tax system for business that rewards investment and innovation, and
3. A simpler and more sustainable tax system.

The package builds on the Government's significant tax reforms to date and is broadly revenue neutral over the forward estimates, with revenue returned to workers and businesses.

Box 1.2 The need for a better tax system

As highlighted in successive intergenerational reports, as the population ages there will be a higher tax burden on a declining share of working age Australians. At the same time, current tax settings make it harder for many Australians, including young Australians, to get into the housing market.

Homeownership rates have declined over recent decades, especially for younger Australians. Since 1999, housing prices have risen more than twice as fast as average full-time earnings and, since 2001, the home ownership rate for households 25 to 34 years old has declined by 7 percentage points – meaning only around 44 per cent of households 25 to 34 years old owned their own home in 2021.

The Government has a significant agenda to boost housing supply, including new measures in this Budget, and is supporting first home buyers into the market through the expanded 5% Deposit Scheme and Help to Buy. However, tax settings also play a role in housing affordability. The 50 per cent capital gains tax discount and negative gearing provide generous incentives for investors, which have added to demand for property and contributed to higher housing prices over time. This has come at the expense of owner-occupiers, making it harder for more Australians to own their own home. These tax settings distort investment toward more leveraged investment in existing homes and are poorly targeted when it comes to supporting new housing supply. The 50 per cent discount also poorly approximates the inflation component of returns, meaning investors can be undercompensated or overcompensated for inflation across a range of asset types.

There are also fairness and sustainability considerations around the use of discretionary trusts, with the number of discretionary trusts more than doubling over the past 20 years. While there are legitimate reasons to use trusts, such as succession planning and asset protection, these arrangements provide opportunities to pay a lower rate of tax that are not available to most workers. The wealthiest 10 per cent of households hold over 90 per cent of the value of private trusts, the majority of which are discretionary trusts.

Tax settings are a key factor in shaping productivity outcomes. Australia's productivity growth has also slowed over the last two decades, in part due to weaker business investment and declining business dynamism. This has implications for Australia's long-term economic prosperity, real wage growth and the living standards of current and future generations. It also affects the resilience of our economy, including our ability to manage shocks like the energy price shock that is occurring due to the current Middle East crisis.

Simplifying and modernising the tax system is also important to reduce compliance costs and support stable and efficient revenue to fund the essential services Australians rely on.

A fairer tax system for workers, first home buyers and future generations

The Government's priority when it comes to tax is delivering tax cuts to Australian workers so they can keep more of what they earn. The first part of the Government's tax reform package rebalances the tax system to take the pressure off workers and help level the playing field for first home buyers.

Cutting taxes for workers

The Government is delivering another tax cut for Australian workers by introducing the Working Australians Tax Offset (WATO). The WATO will provide an annual tax offset of up to \$250 for income earned by Australian workers from the 2027–28 income year. This increases the effective tax-free threshold by nearly \$1,800 to \$19,985 for workers (or up to \$24,985 for workers eligible for the Low Income Tax Offset) – the largest permanent increase in the effective tax-free threshold since 2012–13. The WATO will benefit over 13 million Australian workers and deliver further, meaningful cost-of-living relief. Around 6.3 million women will benefit from the WATO in 2027–28.

The WATO complements the first round of tax cuts the Government provided in the 2024–25 Budget, and the new tax cuts for every Australian taxpayer announced in the 2025–26 Budget that will come into effect over this year and next year.

The WATO will help Australian workers to keep more of what they earn. Combined with the first three tax cuts already legislated, an Australian worker on average earnings (\$81,245) will receive a tax cut of \$1,978 in 2026–27 and \$2,496 per year from 2027–28, compared to 2023–24 tax settings.

The Government is also implementing a \$1,000 instant tax deduction for workers from the 2026–27 income year. This will deliver lower, simpler taxes for 6.2 million workers with an average tax benefit of \$205. The combined benefit of the Government's tax cuts and instant deduction for an Australian worker on average earnings could be up to \$2,816 for the 2027–28 income year relative to 2023–24 tax settings.

The Government's tax cuts return bracket creep by lowering average tax rates for working Australian taxpayers, especially for low- and middle-income workers. An Australian worker on average earnings is expected to pay up to \$38,977 less tax from 2024–25 to 2036–37, relative to 2023–24 settings. The average tax rate for an Australian worker on average earnings who receives the average benefit of the instant tax deduction will fall from 21.9 per cent in 2023–24 to 20.2 per cent in 2027–28, and is not expected to exceed 2023–24 levels until 2032–33 – three years later than under 2024–25 settings. The average tax rate across all taxpayers will fall from 25.5 per cent in 2023–24 to 24.7 per cent in 2027–28.

The WATO is estimated to decrease receipts by \$6.4 billion over the five years from 2025–26. The instant tax deduction will cost \$2.6 billion over the five years from 2024–25, with the financial impacts of this measure already provided for. The Government will also increase the Medicare levy low-income thresholds by 2.9 per cent for singles, families, and seniors and pensioners from the 2025–26 income year, providing further cost-of-living

relief. This measure is estimated to decrease receipts by \$450.0 million over the five years from 2025–26.

Reforming negative gearing and capital gains tax

To help level the playing field for first home buyers, from 1 July 2027 the Government will limit negative gearing for residential property to new builds that genuinely add to housing supply. Properties held at 7:30pm (AEST) 12 May 2026 will be exempt, so arrangements will not change for existing investors. Investments that support government housing programs, for example, through the provision of affordable housing, will also be exempt.

The CGT rules will also be amended from 1 July 2027. The 50 per cent CGT discount for individuals, trusts and partnerships will be replaced with cost base indexation and a 30 per cent minimum tax rate. Cost base indexation will ensure that in future, only real capital gains are subject to tax, encouraging investment to flow to where it's most productive. The minimum tax will complement these changes by reducing incentives to hold onto assets to realise a gain when it's most tax advantageous. The minimum tax will also support more consistent taxation of lifetime income by aligning the tax rate on real capital gains with the marginal tax rate faced by the average worker. Transitional arrangements will limit the impact on existing investments, with the new arrangements only applying to gains arising after 1 July 2027. Investors who acquire new homes will be able to choose either the 50 per cent CGT discount or the new arrangements when they sell the property.

The reforms to negative gearing and CGT are prospective and respect previous investment decisions, and will not impact the main residence CGT exemption or superannuation tax arrangements. The Government will consult with stakeholders on key details of the capital gains tax reforms, including the treatment of early-stage and start-up businesses given the unique features of the tech and start-up sector.

These changes are expected to support around 75,000 additional first home buyers into the market over the next decade. Combined with additional housing supply measures, this Budget will support up to 30,000 new homes over the same period, and more as the benefit of productivity-enhancing reform flows through into the housing market.

Fairer tax arrangements for discretionary trusts

From 1 July 2028, the Government will introduce a 30 per cent minimum tax on discretionary trusts. The tax will be paid by the trustee as it is the trustee that controls distributions. Beneficiaries will still need to declare the income in their tax returns, but beneficiaries, other than corporate beneficiaries, will receive non-refundable credits for the tax payable by the trustee, which can be used to offset current year income tax liabilities. The minimum tax will mean a fairer rate of tax is paid on income from discretionary trusts, more closely aligning the tax rates for trusts with the rates paid by workers who earn a living from wages.

Fixed trusts (including fixed testamentary trusts) will not be subject to the minimum tax, providing an alternative vehicle to access the benefits of succession planning and asset

protection. The minimum tax will also not apply to other types of trusts including widely held trusts, complying superannuation funds, special disability trusts, deceased estates and charitable trusts. Some types of income such as primary production income, certain income relating to vulnerable minors, amounts to which non-resident withholding tax applies, and income from assets of discretionary testamentary trusts existing at announcement will also be excluded.

Rollover relief will be available to assist small businesses and others that wish to restructure out of discretionary trusts into another entity type, for example a company or fixed trust. This will provide relief from income tax consequences of restructuring, including tax on capital gains, and will be available for three years from 1 July 2027. The Government will consult with stakeholders on key details of this policy including the mechanism for collecting the minimum tax on trusts, how trustees use excess franking credits and details of rollover relief for restructuring.

These reforms will make the tax system fairer and more sustainable, and help fund tax cuts as well as the essential services Australians rely on.

A better tax system for business

The Government's tax reform package will support a more dynamic and resilient economy by encouraging sensible risk-taking, helping firms manage temporary shocks and supporting investment and innovation. The package includes over \$3.5 billion of new measures that lower taxes for businesses. These reforms provide a more consistent tax treatment for investment and support economic growth and jobs.

Boosting resilience and dynamism

The current tax treatment of losses discourages risk taking and entrenches advantages for large and incumbent firms. Limited access to the value of tax losses makes it harder for new and innovative firms to compete against incumbent firms, who can often offset losses against profits from another part of their business. It also limits their resilience during economic shocks.

To support improved cash flow for businesses facing temporary losses, the Government will introduce permanent two-year loss carry back for all companies with up to \$1.0 billion in turnover. Eligible companies with a tax loss will receive a refund of tax paid in prior years, providing timely support when losses occur. The measure will take effect from income years after 1 July 2026, supporting businesses as they manage the impacts of the conflict in the Middle East.

The introduction of loss carry back is expected to directly benefit up to 85,000 companies each year. This measure is estimated to reduce receipts by \$2.3 billion over five years from 2025–26.

In addition to this reform, from 1 July 2028, the Government will introduce loss refundability for small start-up companies, to help new businesses invest and grow in their

first two years. Refundability will be capped at the amount of FBT and withholding tax paid on employee wages. The measure will support up to 25,000 new businesses each year.

Firms that cannot, or do not elect to, exchange their tax losses for a refundable offset can continue to carry them forward as normal. The measure will support young firms to employ Australian workers and support job creation. It will give young firms greater confidence to take sensible risks to innovate and drive growth. This measure is estimated to increase payments of refundable tax offsets by \$410.0 million over the five years from 2025–26.

Introducing loss carry back and allowing start-ups to access a refundable tax offset will help promote dynamism and sensible risk-taking by lowering the effective tax rate on new, risky investments, and improve the resilience of firms during temporary downturns in business conditions.

Expanding venture capital incentives

Venture capital firms support the diffusion of innovation through investment and sharing knowledge, advice and professional networks. Tax incentives support venture capital investment in startups and high-growth businesses in recognition that these businesses can struggle to access traditional forms of commercial funding and often need ‘patient’ capital to meet long investment timeframes. However, some asset and fund size caps to access these tax incentives have not been updated in decades.

From 1 July 2027, the Government will help unlock more foreign and local investment in venture capital by adjusting these asset and fund size caps to compensate for inflation since they were last set. This will help to ensure that incentives align with modern company valuations. This measure is estimated to decrease receipts by \$10.0 million and increase payments by \$14.7 million over the five years from 2025–26.

Better targeting the Research and Development Tax Incentive

The Research and Development Tax Incentive (R&DTI) encourages innovative activities that support Australia’s productivity. However, the current program is complex and expensive. Over the five years from 2019–20, the cost of the R&DTI has grown by around 70 per cent to be \$4.4 billion in 2023–24.

The recent *Ambitious Australia Report* found that the R&DTI can be reformed to better target its objectives and to address concerns around program complexity and cost. In response, from 1 July 2028, the Government will simplify and better target the R&DTI to focus support to where it is most effective at encouraging additional research and development. Key reforms include:

- increasing the offset for experimental ‘core’ R&D – uncertain, experimental work conducted to generate new knowledge – by around 25 to 50 per cent and removing eligibility for expenditure that only supports R&D. The intensity threshold will reduce from 2 per cent to 1.5 per cent, providing higher offsets to firms undertaking substantial core R&D. Expenditure on supporting activities – such as literature review and equipment maintenance – will no longer be eligible.

- providing greater support to young, fast-growing firms by increasing the turnover threshold for the higher, refundable offset to \$50.0 million. Refundability will be limited to firms operating less than ten years, with older firms eligible for an equivalent, non-refundable offset.
- increasing the maximum expenditure threshold to \$200.0 million, encouraging Australia's largest R&D businesses to keep their R&D onshore, and
- improving assurance around small claims by increasing the minimum expenditure threshold to \$50,000, with R&D below this required to be undertaken with a Research Service Provider or Cooperative Research Centre.

These reforms to the R&DTI will improve the sustainability and impact of the program. The reforms are estimated to provide savings of \$650.0 million over the five years from 2025–26 while delivering an estimated \$400.0 million increase in R&D by young firms each year. The savings from these reforms will help fund business tax reforms that support the wider innovation and business investment ecosystem.

Making the small business instant asset write-off permanent

The Government will make the \$20,000 instant asset write-off permanent from 1 July 2026 – giving small businesses certainty that they can rely on this measure into the future. This measure will improve cash flow and reduce compliance costs by allowing eligible small businesses with aggregated annual turnover of less than \$10.0 million to continue to immediately deduct assets costing less than \$20,000 rather than depreciating them over several years. This measure is estimated to reduce receipts by \$890 million over the five years from 2025–26.

A simpler and more sustainable tax system

The Government's tax reform package includes substantial reforms that make it simpler for workers and businesses to engage with the tax system, while improving the sustainability of the system to help fund the services Australians rely on.

Making tax easier for workers and small businesses

The introduction of a \$1,000 instant deduction for work-related expenses will allow workers to reduce their taxable income by up to \$1,000 without providing receipts when they lodge their 2026–27 and future tax returns. This will help workers cut back on paperwork and save them time and money at tax time. The ATO estimates the measure will collectively save individuals \$380 million in compliance costs each year.

Making the \$20,000 instant asset write-off permanent will benefit small business whether they are a sole trader, a partnership, or run through a trust or company, and is particularly valuable for sole traders who often face higher administrative burdens relative to their size. This measure is estimated to reduce compliance costs for small businesses by around \$32.0 million per year.

The Government will also work with the ATO to make it easier for businesses to manage their cash flow and comply with their tax obligations by expanding businesses' access to the dynamic PAYG instalment pilot. This allows businesses to vary their instalments, without risk of interest changes, based on more up-to-date business conditions by using an ATO-approved dynamic instalment calculation embedded in their business accounting software. This will support businesses to better manage cash flow as economic conditions change, releasing funds when times are tough and preventing debts when conditions improve.

To support the more effective adoption of dynamic instalments, from 1 July 2027 the Government will also provide businesses with flexibility to opt-in to reporting and paying PAYG instalments monthly, so that their instalments adjust more quickly to real-time business conditions. This measure will increase receipts by \$75.0 million and increase payments by \$17.2 million over the five years from 2025–26, and is expected to save businesses approximately 10,000 hours and \$850,000 annually in reduced compliance costs.

The Government's nuisance tariff abolition will further streamline trade and save businesses \$157 million in compliance costs per year, with consultation on abolition of additional tariffs.

More sustainable tax settings for electric vehicles

The Government is adjusting settings of the electric car discount to maintain incentives for the shift to electric vehicles while transitioning to more sustainable settings for the longer term.

The Government will transition the arrangements to support electric cars to a permanent 25 per cent fringe benefits tax (FBT) discount, for eligible electric cars over \$75,000 from 1 April 2027 and for all eligible electric cars from 1 April 2029. Electric cars costing up to \$75,000 will continue to receive a full FBT exemption provided the fringe benefit arrangement commences before 1 April 2029.

These new arrangements continue targeted support for the shift to electric cars, while ensuring the sustainability of the system in the long term, and reflect the recommendations of the statutory review of the electric car discount policy.

Strengthening care and broadening opportunity

The Government is strengthening Australia's care systems to help ensure every Australian has access to high-quality care and support. The Government is also investing to improve outcomes for First Nations Australians, drive progress on gender equality and continue to support veterans.

Securing the NDIS for future generations

The Government is taking the next steps to restore the NDIS to its original intent of supporting people with permanent and significant disability. The reforms in this Budget will deliver quality services and supports, clarify eligibility requirements, slow rapid cost increases and address fraud and rorts.

These reforms are expected to reduce growth in NDIS payments by \$37.8 billion over the next four years. The NDIS will continue to grow each year and remain Australia's largest social program outside of the Age Pension.

Delivering quality services and supports to participants

NDIS market settings have resulted in provider viability challenges, variable quality and poor outcomes for some participants.

To address these dynamics, the Government will provide \$49.4 million over four years for the National Disability Insurance Agency (the NDIA) to commission plan management, support coordination and home and living supports for Supported Independent Living participants to ensure participants receive the best supports and to address provider viability challenges. The NDIA will also introduce differentiated pricing for some supports delivered by unregistered providers.

The Government is also investing \$200.0 million over three years to establish an Inclusive Communities Fund to rebuild capability among community organisations to host genuine participation activities.

Setting clearer eligibility requirements

In line with the Scheme's original intent, the Government will reform NDIS access so that it is based upon a substantial reduction in a person's functional capacity that impacts their day-to-day living. The Government will design a standardised, evidence-based assessment of functional capacity to determine scheme access. To support design, the Government will provide \$19.2 million over four years to establish a Technical Advisory Group and to ensure Disability Representative Organisations can facilitate community consultation on the reforms.

Slowing rapid cost increases

Unscheduled reassessments have been a major driver of spending growth in the NDIS, with the average result of a reassessment being a 20 per cent increase in plan value. To address these issues, the reforms will tighten criteria around plan reassessments and strengthen guidance on what are reasonable and necessary supports. Budgets for social, civic and community participation and capacity building daily activities will be reset and New Framework Planning will deliver more equitable, consistent and sustainable participant plans from 1 April 2027.

Fighting fraud and stopping rorts

To improve safety and protect participants, the Government will invest \$821.2 million over four years to expand the mandatory registration of providers, introduce a new enrolment system to increase oversight of payments, continue the Fraud Fusion Taskforce and strengthen the NDIA's investigative and enforcement capabilities. Fraud and non-compliance undermines the social licence of the NDIS and has a direct and devastating impact on the lives of participants and their families.

Strengthening the broader system of community disability supports

In this Budget, the Government is investing \$2.0 billion to deliver Thriving Kids, with funding to be matched by states and territories. Thriving Kids will provide a national system of support for children aged 8 and under who have developmental delay or autism with low to moderate support needs through services in settings where children and families live, learn and play. The Government has also provisioned a further \$3.0 billion over five years to establish Foundational Supports outside the NDIS, to be matched by states and territories as agreed by National Cabinet.

Better care for older Australians

This Budget invests \$3.7 billion to increase the supply of residential aged care accommodation, accelerate the release of Support at Home packages and enhance the quality and affordability of aged care services.

Quality, affordable residential care

In response to the Residential Aged Care Accommodation Pricing Review, the Government will introduce measures to incentivise construction of up to 5,000 aged care beds a year for aged care residents and protect equity of access for supported residents – those with limited financial means.

This Budget invests \$606.5 million over four years from 2026–27 to introduce new capital subsidies for aged care providers who build or expand residential accommodation, deliver up to 20 additional Specialist Dementia Care Program units and expand the Hospital to Aged Care Dementia Support program from 11 to 20 locations nationally.

The Budget also provisions \$1.1 billion for future spending to increase and restructure the Accommodation Supplement and introduce an additional payment for homes with more than 60 per cent supported residents.

Easier access to quality care

The Government is providing \$1 billion to make personal care services, such as showering, in the Support at Home program free of charge, alongside clinical care. These changes build on the Government's aged care reforms that have codified the rights of older Australians in law and established a system to deliver safe, dignified and high-quality care for an ageing population.

The Government is also providing \$389.8 million over four years from 2026–27 to implement Support at Home program refinements, including to assessments, hardship applications and the end-of-life pathway, and to bring forward the release of Support at Home program places in 2026–27.

Continuing to improve care

This Budget will also deliver \$565.1 million to strengthen regulatory, governance and quality arrangements, sector viability and workforce supports to provide better aged care for older Australians.

Strengthening Medicare

This Budget includes an additional \$3.5 billion to strengthen Medicare including through new investments in Medicare Urgent Care Clinics and My Health Record, bringing the total to \$27.8 billion since October 2022. Alongside these investments in Medicare, the Government is increasing funding for public hospitals by \$25.0 billion over the next five years.

Improving access to bulk billing and urgent care

This Budget provides \$1.8 billion over five years from 2025–26 (and \$580.2 million per year ongoing) to secure the future of Medicare Urgent Care Clinics as a permanent feature of Australia's health system. This builds on previous investments to expand the total network to 137 clinics across Australia. The network has already delivered almost 3 million free visits nationwide. By July 2026, four in five Australians will live within a 20-minute drive of their local Medicare Urgent Care Clinic.

The Government has invested \$11.4 billion to incentivise bulk billing, with a goal of ensuring nine out of ten GP services are bulk billed by 2030. Since the Government's recent bulk billing reforms commenced on 1 November 2025, 3,761 practices across Australia have registered as fully bulk billing, with 1,420 of these general practices previously mixed billing. The national GP bulk billing rate has risen to 81.4 per cent in the period November 2025 to January 2026, an increase of 4.3 percentage points compared to the same period 12 months earlier.

This Budget also provides an additional \$25.3 million in targeted funding to lift bulk billing rates in the Central Coast, Newcastle, Lake Macquarie and Hunter regions, an area with historically low bulk billing rates. Up to six new fully bulk billing GP clinics will ensure locals and families have greater access to free primary care.

Modernising health care with digital and telehealth services

As part of its commitment to Thriving Kids, the Government is investing \$85.5 million to develop and deliver a national phone line to provide parents and families with information and advice on child development.

Funding of \$598.3 million will support the digital health reform agenda through My Health Record, providing easy, more secure data sharing and continuing reforms to share by default.

Broadening opportunity and increasing equality

This Budget builds on the Government's work to lower barriers to participation and progress economic inclusion. The Government is investing in economic empowerment for First Nations Australians, better outcomes for women and families, and supporting veterans' care and wellbeing.

Investing in First Nations communities and Closing the Gap

The Government is continuing to work with First Nations Partners and communities to deliver on its commitments to Closing the Gap. This Budget, the Government will invest \$1.2 billion over five years from 2025–26 in measures to accelerate progress on Closing the Gap commitments and deliver better outcomes for First Nations Australians.

Jobs and economic empowerment

The Government is investing an additional \$299.0 million to double the successful Remote Jobs and Economic Development Program. This funding will expand the program from 3,000 to 6,000 new jobs, delivering the dignity of work with decent pay and conditions for First Nations Australians living in remote communities.

Easing the cost-of-living for remote communities.

The Government is investing additional funding to strengthen cost-of-living support in remote communities. This includes \$27.4 million to expand the Low-Cost Essentials Subsidy Scheme to all 225 remote stores around Australia, enabling more stores to deliver cost-of-living relief for 30 essential grocery items. An additional \$32.7 million is also being invested to expand the Store Efficiency and Resilience Package to an additional 75 remote stores. This investment will ensure remote communities have reliable access to nutritious food and groceries all year round.

Investing in culturally safe health care

Culturally safe health care remains a priority. The Government is investing \$144.1 million for health infrastructure across the Aboriginal Community-Controlled Health Services (ACCHS). This funding will continue to improve health infrastructure across the ACCHS sector, building on over 100 projects delivered or currently underway.

The Government is providing a further \$44.4 million for the successful Birthing on Country program, which provides culturally-safe maternal care to 1,100 mothers and their babies each year.

An additional \$18.9 million will be provided to 13YARN, to establish a text message service and expand culturally safe crisis support, to support social and emotional wellbeing.

The recently agreed public hospital reforms will embed the Government's commitment to Closing the Gap in the health system through a First Nations schedule in the NHRA Addendum. As part of these reforms, the Government is committing almost \$250.0 million in dedicated funding for new, co-designed programs to improve health outcomes for First Nations Australians, with \$200.0 million matched by states and territories. This is part of the Government's additional \$25.0 billion investment for public hospitals.

Improving educational outcomes

The Government is investing \$113.0 million, to improve educational outcomes, including funding for the Clontarf Foundation to extend its young men's program for the 2027 and 2028 school years. Funding will also be provided to the Indigenous Boarding Provider grants program for rural and remote First Nations students for a further two years.

Supporting women and advancing gender equality

The Government is continuing to support women, helping advance gender equality and growing their participation in the workforce. The gender pay gap is at an historic low and women's workforce participation reached record highs in 2025.

A safer and more effective Child Support Scheme

The Government is committing \$182.6 million to strengthen the Child Support Scheme so children get the financial support they need and women are protected from conflict and abuse. These changes will help prevent the child support system being weaponised by perpetrators of Family and Domestic Violence.

Supporting families and children

More than one million Australian families have benefited from the Government's \$4.7 billion investment into Cheaper Child Care and further major reforms to help families balance work and care come into full effect in 2026. The 3-Day Guarantee, which commenced in January 2026, provides further support, entitling eligible families to three days of subsidised child care per week, regardless of activity levels.

On 1 July 2026, the Australian Government's Paid Parental Leave scheme will be expanded to six months, with eligible families being \$14,000 better off than they would have been in 2022. This builds on the introduction of superannuation contributions on Paid Parental Leave that began in 2025.

The Government is investing an additional \$171.7 million to expand support services for children and families in need. This includes the new Children and Family Support program which will deliver better outcomes for up to 270,000 children and families per year.

Better health care for women

The Government is continuing to support women's health by delivering cheaper medicines. In this Budget, Keytruda® has been listed on the PBS to treat cervical cancer. In 2025, 946 new cases of cervical cancer were diagnosed. Without the PBS subsidy, patients could pay more than \$15,400 per script.

It is now easier for women to access and afford long-acting reversible contraceptives (LARCs). The Government is investing \$2.7 million to list new items on the Medicare Benefits Schedule for participating midwives to provide LARC services. This measure is expected to deliver 4,600 patient services annually.

As part of the extension of the National Mental Health and Suicide Prevention Agreement, the Government is also providing funding to extend the work to achieve universal perinatal mental health screening.

Helping women earn more

The Government has delivered higher wages for women in historically undervalued sectors, investing \$17.7 billion and \$3.6 billion for pay rises in the female-dominated aged care and child care sectors respectively. The Government continues to support the Fair Work Commission's Gender Undervaluation – Priority Awards Review, with further decisions expected to be finalised this year.

Addressing violence against women, children and families

Since 2022, the Government has invested over \$4.4 billion to deliver the National Plan to End Violence against Women and Children.

The Government has delivered Australia's first standalone plan to end violence against First Nations women and children. On 10 February 2026, funding of \$218.3 million was announced for a national network of up to 40 Aboriginal Community-Controlled Organisations to deliver the *Our Ways – Strong Ways – Our Voices: National Aboriginal and Torres Strait Islander Plan to End Family, Domestic and Sexual Violence 2026–2036* program.

Continuing to support veterans

Alongside investments in health and care, the Government is also making changes to improve the sustainability of veterans' allied health by introducing an annual cap for allied health services. The Government will reinvest \$169.7 million to increase fees paid by the Department of Veterans' Affairs to allied health providers, as recommended by the Royal Commission into Defence and Veteran Suicide. The Government is continuing to advance implementation of Royal Commission recommendations and is setting aside a further \$583.4 million to deliver on those commitments, including \$29.8 million to establish a National Veterans' Data Asset.

Strengthening government service delivery

The Government is making a \$2.2 billion investment to improve the way Services Australia delivers services to the Australian community, including by securing frontline and emergency response staff, enhancing safety and security at Services Australia centres, delivering enhancements to myGov and cyber security uplift.

Building a resilient and secure Australia

Investments in resilience and security in this Budget help ensure that Australians and the Australian economy are less exposed to risks stemming from a more uncertain geopolitical environment. The Government is achieving this through investing in a Future Made in Australia, bolstering Australia's defence capability, building infrastructure for the future and ensuring Australians are safe in the wake of the antisemitic Bondi terrorist attack.

Future Made in Australia

The Government's Future Made in Australia agenda is securing and scaling our domestic industrial capability. This builds our economic resilience and ensures Australia increases its competitive advantages in a changing global economy.

Supporting resilient metals production

Decarbonising domestic metals production will ensure the industry's long-term future in a low emissions world while capitalising on Australia's abundant renewable energy resources. The Government is providing up to \$1.0 billion to secure the long-term future for the Boyne Island Aluminium Smelter. This support, matched with an equal contribution from the Queensland Government, will crowd in almost \$7.5 billion in private investment and enable Boyne to transition to aluminium production using renewable energy, becoming one of the world's first aluminium smelters underpinned by solar and wind generation.

The Government is committed to the transformation of the Whyalla Steelworks and is providing \$222.6 million in further funding to continue to support and stabilise the steelworks during the administration in partnership with the South Australian Government. This funding supports local jobs and ensures ongoing operations while work

continues to find a new long-term owner. The Government is also working with the Tasmanian Government to provide time-limited support to ensure workers at the Liberty Bell Bay manganese smelter receive wages while the facility is in administration and the sales process progresses.

Securing critical minerals supply chains

Growing Australia's critical minerals sector will help create diverse, resilient and sustainable global supply chains. The Government has delivered on its commitment to establish a Critical Minerals Strategic Reserve. Future transactions under the Reserve will be led out of the Department of Industry, Science and Resources, in close partnership with Export Finance Australia. The Reserve will initially focus on antimony, gallium and rare earth elements which are crucial for clean energy and high-technology manufacturing as well as advanced military equipment.

The Critical Minerals Strategic Reserve will draw on \$1.0 billion from the \$5.0 billion Critical Minerals Facility for transactions. The Government is also providing \$150.0 million for selective stockpiling of minerals and \$20.4 million to support the operation of the Reserve. To ensure Australia can be a reliable supplier of critical minerals, the Government is also providing \$2.9 million to help deliver critical minerals agreements with our international partners.

Strengthening the National Medical Stockpile

To enhance Australia's supply chain resilience and readiness for potential disruptions, the Government is maintaining a strong National Medical Stockpile, including a strategic reserve of medical supplies such as vaccines and personal protective equipment. This will include \$20.0 million in 2025–26 for an Emergency Health Resilience Preparedness Fund to respond to immediate supply chain risks in the context of conflict in the Middle East.

Bolstering Australia's defence capability

Australia's strategic environment has continued to deteriorate since the 2024 National Defence Strategy. The coming decade will likely be defined by fracture and disorder. The Government understands the importance of delivering and strengthening the defence capabilities Australia needs to protect the security, interests and way of life of the Australian people.

National Defence Strategy

The 2026 National Defence Strategy provides an additional \$14.0 billion over the next four years and an additional \$53.0 billion investment over the next 10 years through direct Government investment and plans to leverage private sector funding. These investments will increase the Australian Defence Force's ability to deter and respond to threats, strengthen Australia's sovereign defence industrial base, and build greater self-reliance in the future.

The 2026 Integrated Investment Program provides new and increased investment in high priority Defence capabilities based on lessons learned from conflicts in Ukraine and the Middle East. These include autonomous and uncrewed systems, long-range strike capabilities, and integrated air and missile defence. The Government is continuing to invest in Australia's long-term naval capability by acquiring nuclear-powered submarines and Mogami class frigates, and developing the Henderson Defence Precinct in Western Australia.

Making Australia stronger, safer and more prosperous

In an increasingly complex, unstable and unpredictable world, the Government is acting to make Australia stronger, safer and more prosperous. The Government is investing in our relationships and prioritising our region, where our interests are most at stake.

Australia will commit \$33.2 million to support implementation of the historic Australia-Indonesia Treaty on Common Security, reflecting our close partnership and friendship and taking our cooperation to a new level. The Government will also commit \$25.3 million to deepen our relationship with India, expanding opportunities for collaboration and trade created by India's rapid economic growth.

To enhance Australia's engagement with and support to the Pacific, the Government is providing funding of \$187.8 million over four years from 2026–27 (and \$49.2 million per year ongoing). The Government is also investing \$60.5 million to sustain consular services and Smartraveller travel advice to help keep Australians safe overseas.

Building infrastructure for the future

This Budget continues to invest in infrastructure to keep Australians and the economy moving, help local communities come together and thrive, and make sure Australia is well-prepared for when natural disasters occur.

Sustainable investment in transport infrastructure

The Government is maintaining its over \$120.0 billion 10-year transport infrastructure investment pipeline. Our approach to sustainable management of the pipeline in the face of market capacity and supply chain challenges has enabled the Government to provide an additional \$8.6 billion over 11 years from 2025–26 for nationally significant projects. New investments include \$3.8 billion for Suburban Rail Loop East in Victoria, \$812.5 million for the Bruce Highway – Gateway Motorway to Dohles Rocks Road (Stage 2) in Queensland and \$552.0 million for upgrades to Anketell Road to connect with the proposed future Westport precinct in Western Australia.

To improve the efficiency and resilience of Australia's supply chains, the Government is also providing an additional \$1.75 billion targeted investment in the national rail freight network, taking the total investment in the Australian Rail Track Corporation's Network Investment Program to almost \$2.8 billion.

Investing in communities

The Government is investing \$841.7 million in local community infrastructure projects including through extending the Thriving Suburbs, Growing Regions and Stronger Communities programs. This will support local communities by funding parks, community centres and sport and cultural facilities.

This Budget also invests an additional \$500.0 million over ten years from 2026–27 (and \$50.0 million per year ongoing) to continue the Active Transport Fund, which will help promote active transport options like walking and cycling, improve road safety and reduce transport emissions.

The Government is improving Australia's preparedness to respond to natural disasters. A new national cell broadcast messaging system will improve emergency warning communications. A further \$6.0 million will support development of options for a national high-speed and high-capacity mobile broadband emergency response capability. The Government is also bolstering the national aerial firefighting fleet.

Responding to the Bondi attack

The Government is addressing hate speech, violent extremism and terrorism, and strengthening our social cohesion, providing \$604.2 million in response to the antisemitic Bondi terrorist attack. The Government increased funding for law enforcement agencies to detect and disrupt violence and counter violent extremism, introduced stronger hate crime and gun control laws, and is establishing the National Gun Buyback Scheme.

Funding includes \$42.9 million for mental health support, and \$102.0 million to enhance security for Jewish communities. The Government is also investing in additional security measures, including \$68.8 million for National Security Investigations teams, \$25.1 million for stronger firearm import controls, \$9.0 million to accelerate the implementation of the National Hate Crimes and Incidents Database and \$2.0 million for implementing the Prohibited Hate Group Listing Framework.

Together with the NSW Government, the Government has provided \$21.7 million in Disaster Recovery Funding Arrangements. The Government is also committing an additional \$22.0 million to the Executive Council of Australian Jewry through the Confiscated Assets Account to enhance the security of the Jewish community.

Support for Jewish Australians

The Government appointed the Hon Virginia Bell AC SC to lead the Royal Commission on Antisemitism and Social Cohesion in response to the antisemitic Bondi terrorist attack. On 30 April 2026, an interim report containing 14 recommendations was provided to the Governor-General. The Government accepted all recommendations relevant to the Commonwealth and has committed to working with states and territories to support a nationally consistent approach to implementation.

The Government adopted the Special Envoy's Plan to Combat Antisemitism and is working through the implementation of the 13 recommendations in consultation with the Jewish Australian community and the Special Envoy.

The Government is also providing \$46.7 million in financial support to the Jewish community, including for security and infrastructure upgrades and grant opportunities to support priority projects, including for a Chabad of Bondi project.

The Government named the Jewish Community Foundation, associated with the Jewish Communal Appeal, and the Australian Jewish Funders in a ministerial declaration enabling them to seek deductible gift recipient endorsement as community charities from the ATO. This allows these organisations to provide direct assistance and ongoing support in the aftermath of the Bondi attack.

Managing domestic security risks

The Government is tackling serious and organised crime by providing \$50.0 million to sustain the Australian Criminal Intelligence Commission's operations and additional funding for critical intelligence systems, \$40.4 million to bolster the response to transnational, serious and organised crime, and \$14.0 million to boost the states and territories' capabilities to disrupt the illicit tobacco and e-cigarette markets – including for transport, storage and disposal of seized tobacco and e-cigarettes.

The Government has increased investment in Australia's domestic security amid a degraded security environment, including \$17.0 million to uplift protective security, \$80.0 million to respond to violent extremism and establish the Counter-Terrorism Online Centre, and \$70.0 million to sustain the High-Risk Terrorist Offender regime.

